

Situational and Audience Analysis of Aesop

1. Introduction

1.1 Company Background Brief

Aesop is a premium skincare brand that also offers haircare, body care and home accessories, with a single skincare product price ranges from £25 to £120. The brand was founded in Melbourne in 1987 and has gradually expanded to over 29 countries with around 400 stores (Wikipedia, 2020). In 2023, Aesop was acquired by the French beauty group L'Oréal for approximately \$2.53bn (£2bn) (Liang, 2023). This acquisition marks a significant stage in the brand's development, potentially enabling global expansion.

Aesop stands out for its distinctive brand identity. Its minimalist packaging and architecturally designed retail stores create a strong sensorial experience. The stores are not only retail spaces but also part of the brand's storytelling, reflecting simplicity, design consciousness and attention to detail.

1.2 Company's Vision and Mission

Aesop is passionate to offer highly safe and effective plant-based products, where the ingredients are from "the most reputable suppliers across the globe" (Aesop, 2025). Rather than following fast beauty trends, Aesop positions itself around long-term skin health and carefully developed formulations.

In terms of corporate values, Aesop presents itself as socially and environmentally responsible. The company does not conduct animal testing and highlights its commitment to

sustainability. Its approach focuses on reducing environmental impact while strengthening social responsibility initiatives, with the broader intention of contributing more to communities than it extracts.

1.3 Target Country and Audience

This report focuses on situational and audience analysis, using PESTLE and SWOT frameworks to evaluate Aesop's position in the UK market. The campaign will focus on female consumers aged 25-34 earning between approximately £30,000 and £40,000 per year. This income bracket represents young urban professionals with stable disposable income, allowing for regular engagement with premium skincare brands.

2. PESTLE Analysis

2.1 Economic Factor

2.1.1 Rise of Living Costs

The UK economy has experienced sustained cost-of-living pressures in recent years, with rising housing, energy and food expenses significantly affecting disposable income levels (Francis-Devine, 2024). As Fig 1 shows, 60% of UK citizens choose to spend less on non-essentials, which include skin care products. For young professionals earning between £30,000 and £40,000 annually, these increases reduce financial flexibility and encourage more cautious spending behaviour. As a result, premium skincare purchases are less likely to be impulsive and require clearer justification in terms of quality, longevity and perceived value.



Fig 1: Household spending & Saving Actions (Public Policy and Social Insights team, 2026)

2.1.2 High Expenditure on Skincare Among Young Women

Research indicates that British women spend an average of approximately £554 per month on beauty and wellness products and services, equating to around £6,648 annually (Cummings, 2026), highlighting the substantial financial commitment this demographic places on personal care and beauty routines. This suggests that skincare remains a priority category for young female consumers, even during periods of economic uncertainty. For premium brands such as Aesop, this indicates stable demand within the target segment, although purchase decisions may become more selective.

2.2 Social Factor

2.2.1 Growing Importance of Skin Care

Research shows that 53% of people in the UK feel self-conscious about their skin condition, and many report that skin issues affect their confidence and peace of mind (Smith, 2025). This suggests that skincare is closely linked to emotional well-being, not only physical appearance.

In addition, Google Trends data (Fig 2) shows a clear increase in searches for the term “skincare” in the UK since 2004, indicating growing public interest and engagement in this category (Google Trends, 2026). As working life becomes more stressful and fast-paced, skincare is increasingly used to maintain confidence and regain a sense of control in daily routines.

For Aesop, this shift creates a favourable environment. As consumers place more importance on skincare as part of personal wellbeing, quality-driven products are likely to remain strong.

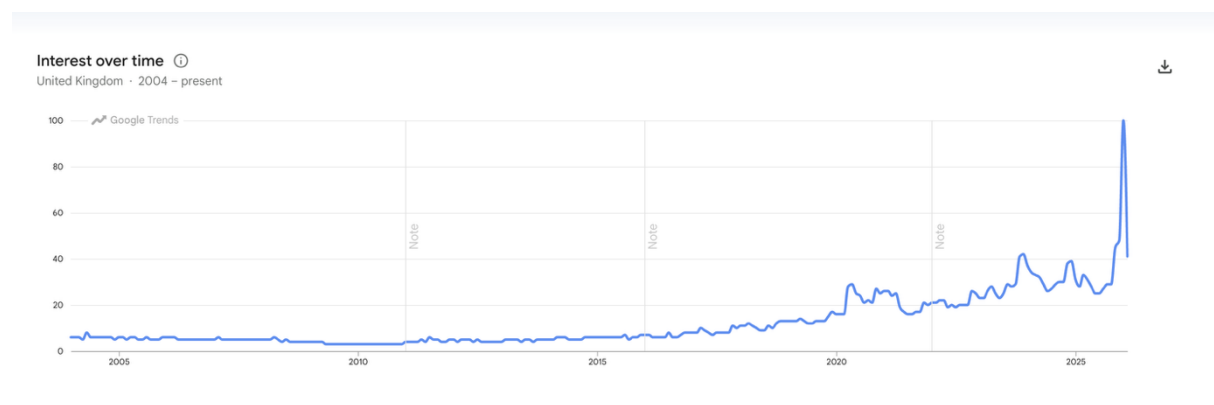


Fig 2: Number of Searched Term “skincare” (Google Trends, 2026)

2.2.2 Preference for Minimalism and Understated Luxury

There is a growing preference among young professionals for brands that reflect simplicity and understated design rather than overt luxury branding. Consumers increasingly favour

products that align with a clean aesthetic and a “less but better” approach to consumption (Lei Takanashi, 2025).

Aesop’s minimalist packaging and architecturally designed retail spaces match this preference, positioning the brand as refined and thoughtful rather than trend-driven or overly commercial.

2.3 Technological Factor

2.3.1 Growth of E-commerce

Online shopping has become a major channel in the UK beauty market. Consumers increasingly purchase skincare products through brand websites or mobile apps. The convenience of comparing products makes online shopping a preferred option, especially among young professionals this campaign is focusing on, as they are more comfortable with digital platforms (YouGov, 2024a). As shown in Fig 3, among those aged 25-39, over half either buy mostly online or split purchases between online and offline channels. This indicates that hybrid shopping behaviour has become common within the target demographic.

While physical retail remains important, digital platforms play a key role in product discovery and decision-making. For Aesop, this means that online presence and user experience are just as important as in-store design.

Do Britons prefer buying health and beauty products online or offline?

For health and beauty products, please indicate whether you tend to make most of your purchases online (i.e. via the internet) or offline (i.e. in store, over the phone etc). (% of all British adults)

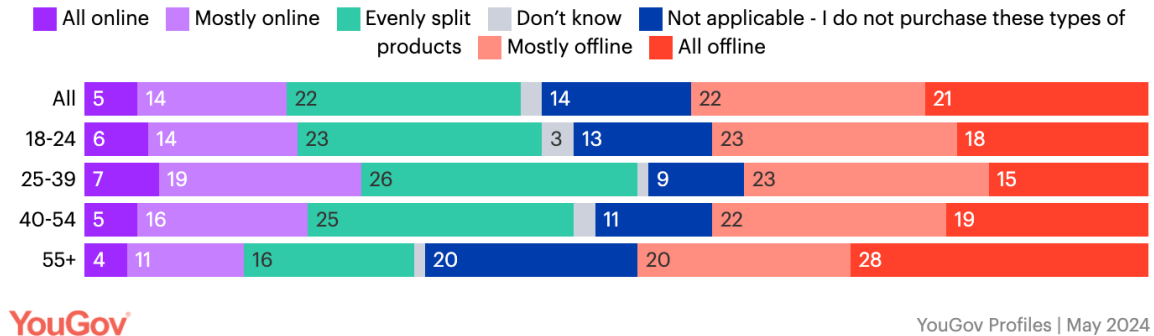


Fig 3: Do Britons prefer buying health and beauty products online or offline?

(Yougov.com, 2024b)

2.3.2 Influence of Social Media on Skincare Trends

Social media platforms such as Instagram and TikTok play an important role in shaping skincare trends and product awareness. Skincare routines, product reviews and before-and-after results are widely shared online, increasing exposure to new brands. Research shows that 31% of British consumers expect visible results within one week (Tropic Skincare, 2024). This expectation encourages people to try products that are heavily promoted or exaggerated on social media.

This environment creates both opportunities and risks for Aesop. While social media increases awareness, it also raises expectations around fast and visible results. As Aesop positions itself around long-term skin health rather than instant transformation, its communication must clearly manage these expectations.

2.3.3 Reliance on Review and Transparency

Consumers increasingly rely on peer reviews, influencer recommendations and ingredient discussions before purchasing skincare products. Online forums, comment sections and product rating systems influence decision-making more than traditional advertising. Younger consumers are also more likely to check ingredient lists and research product benefits before committing to premium purchases.

For Aesop, transparency and credibility are essential in this digital environment. Clear product information, consistent messaging and authentic brand communication help build trust and reduce purchase hesitation within the premium segment.

3. SWOT Analysis

3.1 Strengths

3.1.1 Distinct Brand Identity

Aesop has built a clear and recognisable brand identity focused on the minimalist design of offline stores, which creates a sensory experience that goes beyond simple product purchase, emphasising a premium and thoughtful brand image. In a market where many competitors rely heavily on online promotion, this strong offline presence remains a valuable competitive advantage.

3.1.2 Socially Responsible Brand Image

Aesop Foundation claimed on the website that they have “made a financial pledge to grant AUD \$40million by 2030.” (Aesop, 2025). Corporate social responsibility initiatives can

increase consumer trust and strengthen brand preference, particularly among younger consumers who value ethical business practices (Alamsyah, Othman and Mohammed, 2020).

3.1.3 Sustainability Expectations

Aesop's plant-based products, cruelty-free approach and recycled packaging align with the growing demand for sustainable and ethical products (Gazzola et al., 2017).

3.2 Weaknesses

3.2.1 High Price

Aesop operates in the upper-premium price range, with many products priced significantly higher than mass-market skincare brands (e.g., £34 for a Hand Wash). During periods of economic pressure in the UK, consumers earning £35,000–£50,000 annually may become more price-sensitive and reduce such spending. This may limit purchase frequency or encourage consumers to consider more affordable alternatives.

3.2.2 Limited Mass-Market Visibility

Aesop relies more on brand identity and in-store experience than online advertising. This may reduce visibility among consumers who discover products primarily through social media platforms. In a digital environment where online exposure strongly influences brand awareness, limited promotional activity may restrict potential growth.

3.3 Opportunities

3.3.1 Increasing Awareness of Skin Health

As awareness of skin health and wellbeing increases, demand for high-quality skincare products remains stable (Yougov.com, 2025). This creates room for Aesop to strengthen its positioning around long-term skin care rather than short-term cosmetic results.

3.3.2 Greater Visibility of Sustainability Values

Although Aesop highlights its environmental and social responsibility, much of this information is mainly presented on its website. As consumers increasingly value ethical brands, there is an opportunity to make these commitments more visible through approaches such as influencer marketing.

3.3.3 Highlighting Product Quality

Aesop's cruelty-free approach and plant-based formulations differentiate it from many competitors that rely on synthetic positioning or aggressive advertising. While its premium price may appear high, clearer communication of product quality and ethical standards can help justify this pricing. This creates an opportunity to reduce consumer comparison with lower-cost alternatives and strengthen perceived value.

3.4 Threats

3.4.1 High-end Market Competition

The UK skincare market is highly competitive, with both established luxury brands and well-known premium brands competing for the same target consumers. Brands such as The Ordinary and L'Occitane have strong online visibility and relatively competitive pricing,

making product comparison easier for consumers. This increases the risk of substitution, especially among middle-income buyers who may seek similar quality at a lower price point.

3.4.2 L'Oréal's acquisition of Aesop

L'Oréal's acquisition of Aesop has raised concerns among some consumers regarding the brand's future direction. L'Oréal has previously faced criticism over animal testing practices (Rose, 2019), which may create doubts about whether Aesop can maintain its cruelty-free positioning. If consumers perceive inconsistency between Aesop's ethical image and its parent company's history, this could weaken brand trust and reduce differentiation.

4. Audience Analysis

4.1 Demographics

Although Aesop presents itself as gender-neutral, Similarweb (2025) data shows that 67.51% of its website audience is female. The largest age group falls within 25-34 years old.

According to the Office for National Statistics (ONS, 2024), median annual earnings for full-time employees aged 22-29 in the UK are approximately £30,000-£40,000, with higher averages in London. Given that Aesop products typically range from £25 to £120, these prices fall within discretionary spending capacity for middle-income professionals in the UK.

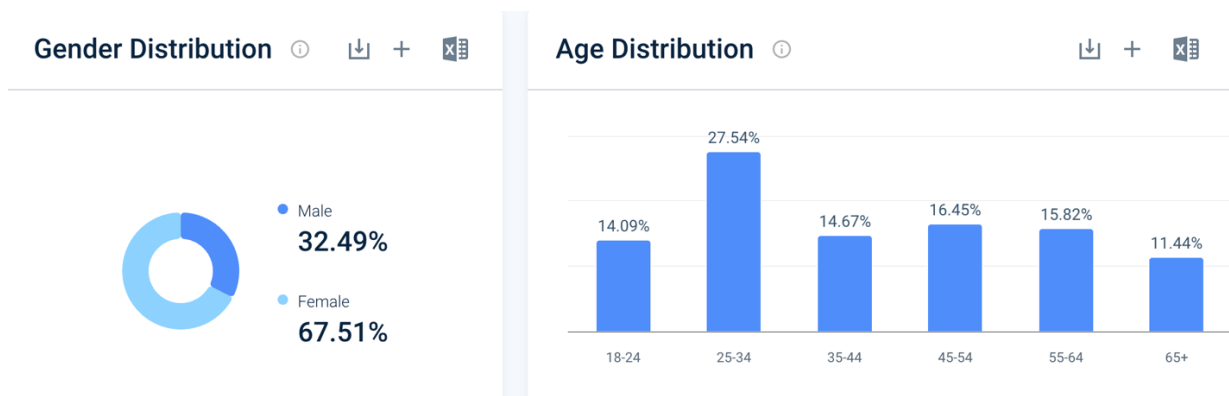


Fig 4: Aesop UK Website Audience Demographics (Similarweb, 2025)

4.2 Lifestyle

The target audience can be described as young urban professional women who show a strong interest in fashion, shopping and personal styling (SimilarWeb, 2025) and tend to value quality and aesthetics in the brands they choose (Kapferer and Bastien, 2012).



Fog 5: Aesop UK Website Audience Lifestyle (Similarweb, 2025)

4.3 Media Use

YouGov (2024) reports that over half of consumers aged 25-39 purchase health and beauty products through a mix of online and offline channels. This reflects a clear hybrid shopping pattern within Aesop's target demographic.

Ofcom (2025) further shows high levels of social media and mobile usage among adults under 35 in the UK. This suggests that product awareness and initial research are likely to begin online, even if the final purchase takes place in-store.

Aesop can reach its target consumers primarily through Instagram and TikTok. Data shows that the largest user group on Instagram in the UK falls within the 25-34 age range, accounting for around 30% of total users (Haigen, 2025). Similarly, TikTok's core UK audience is concentrated within the 18-34 age bracket, indicating strong relevance to Aesop's target demographic.

4.4 Motivations and Values

Based on their lifestyle and Aesop's products, the audience would value quality and credibility. They are willing to pay more for brands that reflect sustainability and ethical standards. For Aesop, the key insight is that purchase decisions are not driven by price alone, but by whether the brand can clearly justify its premium positioning through quality, transparency and consistency.

5. Conclusion

5.1 Brand Truth

Aesop is a premium skincare brand that prioritises quality, long-term skin health and ethical responsibility. Its minimalist identity and plant-based products give the brand credibility within the premium segment. For young urban professionals, Aesop offers not only functional skincare but also a refined, reliable choice that aligns with their lifestyle and values.

5.2 Audience Truth

The audience is young urban professionals who view skincare as a long-term investment rather than a short-term trend. They value product quality, ingredient transparency and brands that demonstrate genuine environmental and social responsibility.

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